

Location Choices of Community Banks and Redlining: The case of Minority Depository Institutions

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Abstract

I study the location choices of mission-oriented community banks, Minority Depository Institutions and their proximity to historically segregated urban areas, that faced restricted mortgage activity. To achieve this, I construct a panel dataset and apply a Poisson Generalized Estimating Equation (GEE) framework to investigate whether MDIs are more likely to locate in historically redlined urban areas, based on Home Owners' Loan Corporation's (HOLC) "residential security maps" when compared to non-MDIs. I find Black MDIs are 9-14 percent more likely to locate in census tracts for each one point increase in their HOLC scores whereas non-MDI bank branches are 10-11 percent less likely to locate in census tracts for each one point increase in their HOLC scores. The findings indicate how historical federal policies still shape credit markets and how Black MDIs co-exist with larger banks in their current local markets.

JEL Classification Codes: G20, G21 , R12

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